Business Environment & Ethics - Set 7

50 MCQs - 1 mark each - answers and explanations are at the end

Choose the single best option. Do not look at the last pages until you finish.

1. When the government buys goods and services from private firms for defence and public works, it acts as a
A. Customer
B. Regulator only
C. Competitor
D. Shareholder

2. The Forest (Conservation) Act was passed in
A. 1972
B. 1986
C. 1991
D. 1980

3. A firm that spots a market trend before its rivals and acts on it gains
A. Price discrimination
B. Legal monopoly
C. First mover advantage
D. Automatic profits

4. Enduring beliefs about what is right and desirable that guide behaviour are called
A. Values
B. Rules
C. Policies
D. Procedures

Case: Ravi and the Licence Raj: Before 1991, Ravi wanted to start a factory but had to obtain several government licences, and large firms faced limits on expansion under the MRTP Act, 1969. After 1991, licensing was abolished for most industries, and the MRTP Act was later replaced by a new law to promote competition.

5. After the reforms, Ravi would most likely find that:
A. Entry into industry is harder
B. Licences are required for every product
C. Private firms are banned
D. Entry into industry is easier and competition is higher

6. A joint sector enterprise is one owned by
A. Only the government
B. Only foreign investors
C. Only workers
D. Government and private parties together

7. The US Foreign Corrupt Practices Act, 1977 prohibits
A. Foreign trade
B. Foreign travel
C. Bribing foreign officials
D. Foreign exchange dealing

8. Misrepresenting one's qualifications in a job application breaches
A. Honesty
B. Only company rules on dress
C. Only tax law
D. Nothing

9. Insider trading means

A. Trading only by directors
B. Trading in securities using unpublished price-sensitive information
C. Trading within a country
D. Trading by banks

10. "Public" in the micro environment refers to
A. Only the shareholders
B. Only the customers
C. Only government employees
D. Any group with actual or potential interest in the firm, such as media or local community

11. Which sequence shows Carroll's CSR pyramid from base to top?
A. Economic, Legal, Ethical, Philanthropic
B. Legal, Economic, Ethical, Philanthropic
C. Ethical, Economic, Legal, Philanthropic
D. Philanthropic, Ethical, Legal, Economic

Case: Coastal Cements and the Fishing Village: Coastal Cements built a plant near a fishing village. The company trains local youth in technical skills, funds a primary health centre and publishes an annual social audit of its impact on the community. Villagers now support the plant, and its leaders say this goodwill has helped the plant run smoothly.

12. Funding the primary health centre is an example of:
A. Insider trading
B. Tax avoidance
C. CSR and community engagement
D. Price discrimination

13. Post-reform investment has tended to concentrate in
A. Only backward states
B. Only rural areas
C. Better-developed states, widening regional disparities
D. No state in particular

14. A whistle-blower mechanism supports transparency by
A. Silencing employees
B. Hiding data
C. Reducing audits
D. Allowing concerns to be raised safely

15. India moved to a market-determined exchange rate system in
A. 1947
B. 1993
C. 1971
D. 2005

16. A conflict of interest arises when
A. Two departments disagree
B. Personal interests clash with professional duties
C. Prices fall
D. A firm makes a loss

17. A central planning authority decides what to produce in a
A. Free market economy
B. Laissez-faire economy
C. Command (centrally planned) economy
D. Traditional economy

18. "Caveat emptor" means
A. Let the seller beware
B. Free trade
C. Fair price
D. Let the buyer beware

19. The public sector in India consists of
A. Privately owned companies
B. Cooperative societies only
C. Enterprises owned and run by the government
D. Foreign multinational companies

Case: StreamNow, an OTT Platform: StreamNow is an online video streaming platform. New start-ups can enter the market with little capital. Viewers can also watch free videos on other websites or use cable TV. Film and series producers demand very high licensing fees for popular content, and subscribers can cancel and switch to another platform at any time.

20. Producers demanding very high licensing fees reflect the:
A. Bargaining power of buyers
B. Threat of substitutes
C. Threat of new entrants
D. Bargaining power of suppliers

21. Which of the following is a core ethical value in business?
A. Exploitation
B. Manipulation
C. Honesty
D. Nepotism

Case: Zenith Software: Pay Gap: At Zenith Software, women are paid less than men for the same role and experience. A woman engineer complains to HR. An ethics review finds that the pay policy has no clear rules and that managers set salaries at their discretion.

22. The practice described violates the principle of:
A. Transparency of the product
B. Environmental sustainability
C. Fairness
D. Community engagement

23. Which of the following is an internal factor of business environment?
A. Value system of the promoters
B. Inflation
C. Competitors
D. Foreign exchange rate

24. An advertisement making false claims about a product violates the principle of
A. Liquidity
B. Profitability
C. Specialisation
D. Honesty and truthfulness

25. Ethics refers to
A. Legal punishments
B. Moral principles that govern the behaviour of an individual or group
C. Financial rules
D. Government policies

26. The bargaining power of customers increases when
A. Only one seller exists
B. Switching costs are very high
C. Many substitutes are available
D. The product is unique

Case: Malabar Spice Exporters: Malabar Spice Exporters, a Kochi-based firm, has an efficient cold-storage system and a strong brand abroad. This year, a poor monsoon reduced pepper output, a recession in Europe cut import demand, a Vietnamese competitor began offering lower prices, and the government announced a new export incentive scheme for spices.

27. The new government export incentive is best viewed as:
A. An external opportunity

B. An internal weakness
C. An external threat
D. A controllable strength

28. The New Industrial Policy of 1991 is associated with
A. Nationalisation and licensing
B. Self-sufficiency and import substitution
C. Price control and rationing
D. Liberalisation, Privatisation and Globalisation

29. A sharp rise in crude oil prices raising costs of transport companies is a change in the
A. External (macro) environment
B. Internal environment
C. Organisational culture
D. Human resource policy

30. The Paris Agreement of 2015 deals with
A. Climate change
B. Trade tariffs
C. Nuclear weapons
D. Child labour

31. Which of the following is an example of consumer exploitation?
A. Selling underweight packaged goods
B. Providing genuine bills
C. Honest labelling
D. Fair pricing

32. Which statement about law and ethics is correct?
A. All legal acts are ethical
B. All unethical acts are illegal
C. Law and ethics are identical
D. An act may be legal but still unethical

33. Disclosing CSR policy and spending in the Board's Report is an example of
A. Secrecy
B. Tax planning
C. Transparency in social responsibility
D. Advertising

34. Financial statements are required to give a
A. Optimistic view
B. Pessimistic view
C. True and fair view
D. Confidential view

35. Being a good corporate citizen by contributing resources to the community is Carroll's
A. Economic responsibility
B. Philanthropic responsibility
C. Legal responsibility
D. Ethical responsibility

36. Corporate citizenship means
A. A company owning citizens' land
B. Paying no tax
C. Having foreign owners
D. A company acting as a responsible member of the community

37. Utilitarianism judges an action by
A. Duty alone
B. The greatest good for the greatest number
C. Personal virtue

D. Legal compliance only

38. An employee passing the firm's confidential data to a competitor breaches
A. No duty
B. Only a tax rule
C. Only a safety rule
D. The duty of confidentiality and loyalty

39. The "newspaper test" in ethical decision-making asks whether a decision
A. Is the most profitable
B. Is the fastest
C. Would be acceptable if reported publicly
D. Is the cheapest

40. A positive impact of LPG on the Indian economy is
A. Increased inflow of foreign investment
B. Complete end of unemployment
C. Zero imports
D. Abolition of all taxes

Case: Malabar Spice Exporters: Malabar Spice Exporters, a Kochi-based firm, has an efficient cold-storage system and a strong brand abroad. This year, a poor monsoon reduced pepper output, a recession in Europe cut import demand, a Vietnamese competitor began offering lower prices, and the government announced a new export incentive scheme for spices.

41. The recession in Europe reducing import demand is a:
A. Weakness in the internal environment
B. Factor of the firm's organisational structure
C. Macro-economic factor in the external environment
D. Strength of the firm

42. The informal acceptance of a company's operations by the local community is called its
A. Social licence to operate
B. Trade licence
C. Import licence
D. Patent

43. Collective bargaining is
A. Bargaining with customers
B. Negotiation between employers and workers' representatives
C. Negotiation with suppliers
D. Government price fixing

Case: The Consumer Club in Ernakulam: Residents of an Ernakulam colony form a consumer club. They organise awareness camps on reading labels and bills, help neighbours file complaints and plan special programmes on 15 March and 24 December.

44. The consumer club's activities form part of:
A. A business strategy to maximise sales
B. A government monopoly
C. The consumerism movement
D. A political party campaign

45. A systematic evaluation of a company's compliance with its ethical standards is called an
A. Stock audit
B. Cost audit
C. Ethics audit
D. Tax audit

46. Under Section 135 of the Companies Act, qualifying companies must spend at least ___ of average net profit on CSR.
A. 2%
B. 1%

C. 5%
D. 10%

47. FERA was replaced by
A. MRTP Act
B. FEMA, 1999
C. SEBI Act
D. Information Technology Act

48. The "fraud triangle" consists of pressure, opportunity and
A. Profit
B. Audit
C. Rationalisation
D. Legislation

49. Section 135 of the Companies Act, 2013 deals with
A. Loans to directors
B. Appointment of auditors
C. Corporate Social Responsibility
D. Winding up of companies

50. In a socialist economy, the main means of production are owned by
A. Private entrepreneurs only
B. Foreign firms
C. The state or community
D. Commercial banks

Answer key - Set 7

1. **A**	11. **A**	21. **C**	31. **A**	41. **C**
2. **D**	12. **C**	22. **C**	32. **D**	42. **A**
3. **C**	13. **C**	23. **A**	33. **C**	43. **B**
4. **A**	14. **D**	24. **D**	34. **C**	44. **C**
5. **D**	15. **B**	25. **B**	35. **B**	45. **C**
6. **D**	16. **B**	26. **C**	36. **D**	46. **A**
7. **C**	17. **C**	27. **A**	37. **B**	47. **B**
8. **A**	18. **D**	28. **D**	38. **D**	48. **C**
9. **B**	19. **C**	29. **A**	39. **C**	49. **C**
10. **D**	20. **D**	30. **A**	40. **A**	50. **C**

Answers with explanations

1. When the government buys goods and services from private firms for defence and public works, it acts as a

Answer: A. Customer

Why correct: Buying goods and services makes the government a customer.

B is wrong: A regulator makes rules.

C is wrong: A competitor sells.

D is wrong: A shareholder owns shares.

2. The Forest (Conservation) Act was passed in

Answer: D. 1980

Why correct: The Forest (Conservation) Act was passed in 1980.

A is wrong: 1972 is the Wildlife Act.

B is wrong: 1986 is the EPA.

C is wrong: 1991 is wrong.

3. A firm that spots a market trend before its rivals and acts on it gains

Answer: C. First mover advantage

Why correct: Acting first on a trend gives first-mover advantage.

A is wrong: Price discrimination is charging different prices.

B is wrong: A legal monopoly comes from law.

D is wrong: Profits are never automatic.

4. Enduring beliefs about what is right and desirable that guide behaviour are called

Answer: A. Values

Why correct: Enduring beliefs about right and desirable are values.

B is wrong: Rules are written directions.

C is wrong: Policies are guidelines.

D is wrong: Procedures are steps.

5. After the reforms, Ravi would most likely find that:

Answer: D. Entry into industry is easier and competition is higher

Why correct: After reforms entry is easier and competition higher.

A is wrong: Entry became easier, not harder.

B is wrong: Licences were abolished for most products.

C is wrong: Private firms are allowed.

6. A joint sector enterprise is one owned by

Answer: D. Government and private parties together

Why correct: A joint sector enterprise is owned by government and private parties together.

A is wrong: Only government is public sector.

B is wrong: Only foreign investors is not joint.

C is wrong: Only workers is not joint.

7. The US Foreign Corrupt Practices Act, 1977 prohibits

Answer: C. Bribing foreign officials

Why correct: The US FCPA prohibits bribing foreign officials.

A is wrong: It does not ban foreign trade.

B is wrong: It does not ban foreign travel.

D is wrong: It does not ban foreign exchange dealing.

8. Misrepresenting one's qualifications in a job application breaches

Answer: A. Honesty

Why correct: Lying about qualifications breaches honesty.

B is wrong: It is more than a dress rule.

C is wrong: It is not only tax law.

D is wrong: It is a breach.

9. Insider trading means

Answer: B. Trading in securities using unpublished price-sensitive information

Why correct: Insider trading uses unpublished price-sensitive information.

A is wrong: It is not just directors trading.

C is wrong: It is not trading within a country.

D is wrong: It is not bank trading.

10. "Public" in the micro environment refers to

Answer: D. Any group with actual or potential interest in the firm, such as media or local community

Why correct: 'Public' means any group with actual or potential interest in the firm.

A is wrong: Not only shareholders.

B is wrong: Not only customers.

C is wrong: Not only government employees.

11. Which sequence shows Carroll's CSR pyramid from base to top?

Answer: A. Economic, Legal, Ethical, Philanthropic

Why correct: Carroll's pyramid from base: economic, legal, ethical, philanthropic.

B is wrong: Legal comes after economic.

C is wrong: Ethical comes after legal.

D is wrong: Philanthropic is at the top.

12. Funding the primary health centre is an example of:

Answer: C. CSR and community engagement

Why correct: Funding a health centre is CSR and community engagement.

A is wrong: Insider trading is illegal.

B is wrong: Tax avoidance is minimising tax.

D is wrong: Price discrimination is pricing.

13. Post-reform investment has tended to concentrate in

Answer: C. Better-developed states, widening regional disparities

Why correct: Investment concentrated in better-developed states, widening regional gaps.

A is wrong: Not only backward states.

B is wrong: Not only rural areas.

D is wrong: It did favour particular states.

14. A whistle-blower mechanism supports transparency by

Answer: D. Allowing concerns to be raised safely

Why correct: A whistle-blower mechanism lets concerns be raised safely.

A is wrong: It does not silence employees.

B is wrong: It does not hide data.

C is wrong: It does not reduce audits.

15. India moved to a market-determined exchange rate system in

Answer: B. 1993

Why correct: The market-determined exchange rate system began in 1993.

A is wrong: 1947 is wrong.

C is wrong: 1971 is wrong.

D is wrong: 2005 is wrong.

16. A conflict of interest arises when

Answer: B. Personal interests clash with professional duties

Why correct: A conflict of interest arises when personal interests clash with professional duty.

A is wrong: Departmental disagreement is not it.

C is wrong: Price falls are not it.

D is wrong: A loss is not it.

17. A central planning authority decides what to produce in a

Answer: C. Command (centrally planned) economy

Why correct: A command economy lets a central authority decide what to produce.

A is wrong: Free markets rely on prices.

B is wrong: Laissez-faire minimises control.

D is wrong: Traditional economies follow custom.

18. "Caveat emptor" means

Answer: D. Let the buyer beware

Why correct: Caveat emptor means 'let the buyer beware'.

A is wrong: Let the seller beware is caveat venditor.

B is wrong: Free trade is not it.

C is wrong: Fair price is not it.

19. The public sector in India consists of

Answer: C. Enterprises owned and run by the government

Why correct: The public sector consists of enterprises owned and run by the government.

A is wrong: Private companies are private.

B is wrong: Cooperatives are a separate sector.

D is wrong: Multinationals are foreign-owned.

20. Producers demanding very high licensing fees reflect the:

Answer: D. Bargaining power of suppliers

Why correct: Producers charging high licensing fees show supplier power.

A is wrong: Buyers are subscribers.

B is wrong: Substitutes are other products.

C is wrong: New entrants are new firms.

21. Which of the following is a core ethical value in business?

Answer: C. Honesty

Why correct: Honesty is a core ethical value.

A is wrong: Exploitation is unethical.

B is wrong: Manipulation is unethical.

D is wrong: Nepotism is unethical.

22. The practice described violates the principle of:

Answer: C. Fairness

Why correct: Paying women less for the same work violates fairness.

A is wrong: Product transparency is unrelated.

B is wrong: Environmental sustainability is unrelated.

D is wrong: Community engagement is unrelated.

23. Which of the following is an internal factor of business environment?

Answer: A. Value system of the promoters

Why correct: Promoters' values lie inside the firm, so they are internal.

B is wrong: Inflation is external.

C is wrong: Competitors are external.

D is wrong: Exchange rate is external.

24. An advertisement making false claims about a product violates the principle of

Answer: D. Honesty and truthfulness

Why correct: False advertising breaks honesty and truthfulness.

A is wrong: Liquidity is cash availability.

B is wrong: Profitability is earnings.

C is wrong: Specialisation is division of work.

25. Ethics refers to

Answer: B. Moral principles that govern the behaviour of an individual or group

Why correct: Ethics is the moral principles that govern behaviour.

A is wrong: Punishments are legal.

C is wrong: Financial rules are accounting.

D is wrong: Government policies are public policy.

26. The bargaining power of customers increases when

Answer: C. Many substitutes are available

Why correct: Many substitutes let customers switch easily, raising their bargaining power.

A is wrong: A single seller lowers it.

B is wrong: High switching costs lower it.

D is wrong: A unique product lowers it.

27. The new government export incentive is best viewed as:

Answer: A. An external opportunity

Why correct: A government export incentive is an external opportunity.

B is wrong: It is not an internal weakness.

C is wrong: It is not a threat.

D is wrong: It is not a controllable strength.

28. The New Industrial Policy of 1991 is associated with

Answer: D. Liberalisation, Privatisation and Globalisation

Why correct: The 1991 policy brought Liberalisation, Privatisation and Globalisation.

A is wrong: Nationalisation and licensing were pre-1991.

B is wrong: Import substitution was pre-1991.

C is wrong: Price control was pre-1991.

29. A sharp rise in crude oil prices raising costs of transport companies is a change in the

Answer: A. External (macro) environment

Why correct: Oil prices lie outside the firm - an external (macro) change.

B is wrong: Internal is inside.

C is wrong: Culture is internal.

D is wrong: HR policy is internal.

30. The Paris Agreement of 2015 deals with

Answer: A. Climate change

Why correct: The Paris Agreement deals with climate change.

B is wrong: Trade tariffs are WTO matters.

C is wrong: Nuclear weapons are other treaties.

D is wrong: Child labour is ILO matter.

31. Which of the following is an example of consumer exploitation?

Answer: A. Selling underweight packaged goods

Why correct: Selling underweight packaged goods cheats the consumer.

B is wrong: Giving genuine bills is fair.

C is wrong: Honest labelling is fair.

D is wrong: Fair pricing is fair.

32. Which statement about law and ethics is correct?

Answer: D. An act may be legal but still unethical

Why correct: An act can be legal yet unethical.

A is wrong: Not all legal acts are ethical.

B is wrong: Not all unethical acts are illegal.

C is wrong: Law and ethics differ.

33. Disclosing CSR policy and spending in the Board's Report is an example of

Answer: C. Transparency in social responsibility

Why correct: Disclosing CSR spending in the Board's Report is transparency in social responsibility.

A is wrong: It is not secrecy.

B is wrong: It is not tax planning.

D is wrong: It is not advertising.

34. Financial statements are required to give a

Answer: C. True and fair view

Why correct: Financial statements must give a true and fair view.

A is wrong: Optimistic views mislead.

B is wrong: Pessimistic views mislead.

D is wrong: They cannot be confidential to shareholders.

35. Being a good corporate citizen by contributing resources to the community is Carroll's

Answer: B. Philanthropic responsibility

Why correct: Contributing resources to the community is philanthropic responsibility.

A is wrong: Economic is profit.

C is wrong: Legal is obeying law.

D is wrong: Ethical is doing right.

36. Corporate citizenship means

Answer: D. A company acting as a responsible member of the community

Why correct: Corporate citizenship is acting as a responsible member of the community.

A is wrong: It is not about owning land.

B is wrong: It is not about paying no tax.

C is wrong: It is not about foreign ownership.

37. Utilitarianism judges an action by

Answer: B. The greatest good for the greatest number

Why correct: Utilitarianism judges actions by the greatest good for the greatest number.

A is wrong: Duty alone is Kantian ethics.

C is wrong: Personal virtue is virtue ethics.

D is wrong: Legal compliance alone is legalism.

38. An employee passing the firm's confidential data to a competitor breaches

Answer: D. The duty of confidentiality and loyalty

Why correct: Passing confidential data to a competitor breaches confidentiality and loyalty.

A is wrong: There is a duty.

B is wrong: It is not only tax.

C is wrong: It is not only safety.

39. The "newspaper test" in ethical decision-making asks whether a decision

Answer: C. Would be acceptable if reported publicly

Why correct: The newspaper test asks if a decision would be acceptable if reported publicly.

A is wrong: Profit is not the test.

B is wrong: Speed is not the test.

D is wrong: Cost is not the test.

40. A positive impact of LPG on the Indian economy is

Answer: A. Increased inflow of foreign investment

Why correct: Reforms attracted more foreign investment.

B is wrong: Unemployment did not end.

C is wrong: Imports did not become zero.

D is wrong: Taxes were not abolished.

41. The recession in Europe reducing import demand is a:

Answer: C. Macro-economic factor in the external environment

Why correct: A recession abroad reduces demand: a macro-economic external factor.

A is wrong: It is not internal weakness.

B is wrong: It is not about structure.

D is wrong: It is not a strength.

42. The informal acceptance of a company's operations by the local community is called its

Answer: A. Social licence to operate

Why correct: Informal community acceptance of a company's operations is its social licence to operate.

B is wrong: A trade licence is legal.

C is wrong: An import licence is legal.

D is wrong: A patent protects inventions.

43. Collective bargaining is

Answer: B. Negotiation between employers and workers' representatives

Why correct: Collective bargaining is negotiation between employers and workers' representatives.

A is wrong: Customers are not part of it.

C is wrong: Suppliers are not part of it.

D is wrong: Government price fixing is different.

44. The consumer club's activities form part of:

Answer: C. The consumerism movement

Why correct: Awareness camps and helping complaints are part of the consumerism movement.

A is wrong: It is not a sales strategy.

B is wrong: It is not a government monopoly.

D is wrong: It is not a political campaign.

45. A systematic evaluation of a company's compliance with its ethical standards is called an

Answer: C. Ethics audit

Why correct: An ethics audit checks compliance with ethical standards.

A is wrong: Stock audit checks inventory.

B is wrong: Cost audit checks cost records.

D is wrong: Tax audit checks tax records.

46. Under Section 135 of the Companies Act, qualifying companies must spend at least ___ of average net profit on CSR.

Answer: A. 2%

Why correct: Qualifying companies spend at least 2% of average net profit on CSR.

B is wrong: 1% is too low.

C is wrong: 5% is too high.

D is wrong: 10% is too high.

47. FERA was replaced by

Answer: B. FEMA, 1999

Why correct: The Foreign Exchange Management Act, 1999 replaced FERA (1973).

A is wrong: The MRTP Act is about monopolies.

C is wrong: The SEBI Act regulates securities.

D is wrong: The IT Act deals with electronic transactions.

48. The "fraud triangle" consists of pressure, opportunity and

Answer: C. Rationalisation

Why correct: The fraud triangle: pressure, opportunity and rationalisation.

A is wrong: Profit is not one.

B is wrong: Audit is not one.

D is wrong: Legislation is not one.

49. Section 135 of the Companies Act, 2013 deals with

Answer: C. Corporate Social Responsibility

Why correct: Section 135 deals with CSR.

A is wrong: Loans to directors is Section 185.

B is wrong: Auditor appointment is Section 139.

D is wrong: Winding up is another part.

50. In a socialist economy, the main means of production are owned by

Answer: C. The state or community

Why correct: In socialism the main means of production are owned by the state or community.

A is wrong: Private entrepreneurs own them in capitalism.

B is wrong: Foreign firms do not own them.

D is wrong: Banks do not own them.